

Description & Eligibility

Assess entry-level accounting principles. Contestants analyze, journalize, post transactions, and prepare financial reports/statements. This application event is limited to secondary division contestants who have not completed their first year of accounting. Contestants may not enter Fundamental Accounting and Advanced Accounting in the same year. This event may *not* be repeated.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application.
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area.
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. **Violation of this rule will result in disqualification.**
- Length of event: no more than ten (10) minutes orientation, no more than ninety (90) minutes testing time, and no more than ten (10) minutes wrap-up.
- Entries vary by state.

Contest Competencies

- Complete and explain the purpose of the various steps in the accounting cycle
- Demonstrate an understanding of the fundamental accounting equation
- Apply generally accepted accounting principles (GAAP) to determine the value of assets, liabilities, and owner's equity
- Define accounting terms and concepts and explain the purpose of the accounting system
- Analyze transactions affecting assets, liabilities, owner's equity, revenues, and expenses
- Analyze a chart of accounts using proper numerical sequencing
- Record transactions in general journals
- Reconcile a bank statement
- Journalize and post entries relating to bank service charges
- Open and replenish a petty cash fund and journalize transactions
- Analyze accruals and deferrals
- Prepare a trial balance
- Prepare and analyze financial statements and reports
- Update accounts through adjusting and closing entries
- Differentiate between forms of business ownership
- Differentiate between a service and a merchandising business
- Analyze transactions relating to the purchase and sale of merchandise
- Analyze uncollectible accounts
- Depreciate plant assets
- Record transactions in special journals
- Post from journals to general and subsidiary ledgers
- Understand the use of subsidiary ledgers
- Prepare a post-closing trial balance
- Find and correct errors
- Demonstrate periodic inventory and cost of goods sold calculations

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